

S&P Global Australia Services PMI®

Business confidence strengthens as new order growth maintained in August

August 2026

Second successive monthly rise in new orders

Business confidence at six-month high

Outstanding business increases despite further rise in employment

Business activity continued to rise in the Australian service sector in August as firms reported a further increase in new orders. Meanwhile, business confidence continued to recover and firms took on extra staff.

There were again widespread reports of higher costs for fuel and staff, resulting in a further sharp increase in input prices, but companies raised their selling prices at a softer pace.

The seasonally adjusted S&P Global Australia Services PMI® Business Activity Index posted 53.2 in August, a touch lower than the reading of 53.6 in July but still signalling a solid monthly expansion of business activity across the sector. Activity has now risen in three consecutive months.

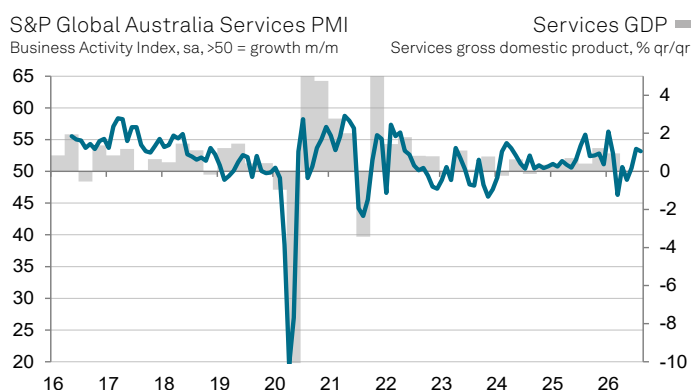
Four of the five broad categories covered by the report saw activity increase in August, the exception being information & communication. Transport & storage posted the sharpest expansion as the sector returned to growth for the first time since February.

Panellists reported being better able to secure new business during the month, feeding through to the latest rise in output. New orders increased for the second consecutive month, and at a modest pace that was broadly in line with that seen in July.

The rise in overall new business was recorded in spite of a further reduction in new export orders – the fourth in as many months. High fuel costs and lower tourist numbers reportedly caused the latest fall in new business from abroad, which was nonetheless the least pronounced in the current sequence of decline.

As well as seeing new orders rise in August, firms also reported a good pipeline of new business. This, alongside new marketing strategies, business expansion plans and hopes for stable market conditions, supported optimism that business activity will increase over the next 12 months. Confidence strengthened to a six-month high and was only just below that seen prior to the outbreak of war in the Middle East.

Rising workloads encouraged service providers to take on extra staff in August, with respondents signalling a mix of full-time and contract hires. Employment increased for the third month running, albeit only modestly and to a lesser extent than in July. As such, some firms reported that staffing levels were still insufficient to prevent a rise in backlogs of work,



Data were collected 12-25 August 2026.
Sources: S&P Global PMI, Australian Bureau of Statistics via S&P Global Market Intelligence.
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Comment

Andrew Harker, Economics Director at S&P Global Market Intelligence

"Growth was sustained in the Australian service sector during August. Although the latest expansions in business activity and new orders were solid but unspectacular, rising business confidence and reports of strong pipelines of new work hint at improving growth rates in the months ahead. In fact, optimism among companies has almost got back to the level seen prior to the outbreak of war in the Middle East.

"Service providers continue to face sharply rising input costs, again mainly linked to fuel and wages, which could potentially limit rates of expansion going forward, but for now the third quarter looks like providing a decent outturn for GDP based on the relationship between the PMI and official data."

which increased for the second consecutive month.

Input prices continued to rise sharply in August, with the rate of inflation ticking up from the previous month, albeit remaining some way below April's recent peak. Respondents mainly linked higher input costs to rising fuel prices and wage pressures. The information & communication sector posted the fastest rise in input costs in August, with the slowest increase in real estate & business services.

With input costs increasing again in August, service providers raised their output prices accordingly. Charges increased at a solid pace, albeit one that was slower than seen in July.

S&P Global Australia Composite PMI®

The Composite Output Index posted 52.7 in August, down slightly from 53.2 in July but still signalling a solid monthly expansion in business activity in Australia's private sector. Output has now risen in three successive months.

Underlying data showed that the overall expansion was centred on the service sector as manufacturing production ticked down in August.

New orders on the other hand rose across both monitored sectors, with composite new business up for the second month running as a result. Meanwhile, new export orders increased for the first time in five months.

Business confidence hit a six-month high and companies continued to take on additional staff.

The rate of input cost inflation quickened, but companies raised their own selling prices at a slower pace than in July.

Methodology

The S&P Global Australia Services PMI® is compiled by S&P Global from responses to questionnaires sent to a panel of around 400 service sector companies. The sectors covered include consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services. The panel is stratified by detailed sector and company workforce size, based on contributions to GDP. Data collection began in May 2016.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. A diffusion index is calculated for each survey variable. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

The headline figure is the Services Business Activity Index. This is a diffusion index calculated from a question that asks for changes in the volume of business activity compared with one month previously. The Services Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline manufacturing PMI figure.

The Composite Output Index is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. The weights reflect the relative size of the manufacturing and service sectors according to official GDP data. The Composite Output Index may be referred to as the 'Composite PMI' but is not comparable with the headline manufacturing PMI figure.

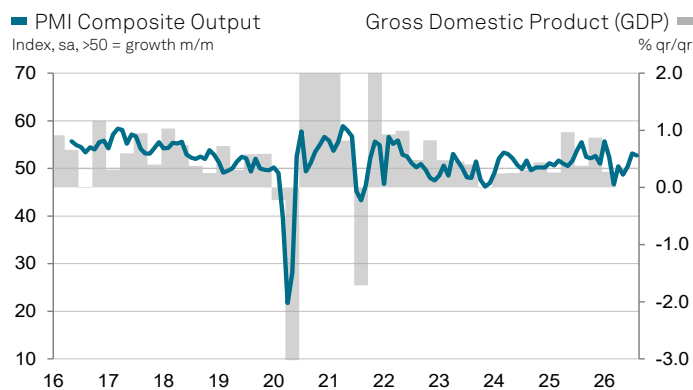
Underlying survey data are not revised after publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

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